

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

– vs. –

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

– vs. –

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**COMPLAINANTS’ RESPONSE TO THE MOTION TO INTERVENE
BY NON-PARTY SERGEY KAPUSTIN**

Pursuant to Rules 68, 69 and 71 of the Federal Maritime Commission’s (“FMC”) Rules of Practice and Procedure 46 C.F.R. 502 *et seq.*, Complainants, by their Counsel, Marcus A. Nussbaum, Esq. respectfully submit this brief in Response to the Motion to Intervene by Non-Party Sergey Kapustin (“Kapustin”).

RELIEF REQUESTED

Movant, Sergey Kapustin, a non-party to this action has filed three (3) separate motions seeking leave to intervene in this matter “...for the limited purpose of seeking disqualification” of the undersigned as counsel for complainants.

NATURE OF CLAIM

This action arises out of respondents' numerous violations of the Shipping Act of 1984, 46 U.S.C. §40101 et seq., in that after respondents had shipped certain automobiles owned by complainants from the United States to Kotka, Finland, where they were to have been released to complainants as purchasers, said automobiles were instead converted, sold, and unlawfully released by respondents to third parties at a location owned by or within respondents' control. Additionally, respondents unlawfully exercised maritime liens against complainants' automobiles.

BRIEF STATEMENT

At the outset it is noted that all of Kapustin's three (3) motions contain a fatal procedural defect, in that the purported Certificates of Service appended thereto abjectly fail to identify the location where they were executed as mandated by Rules of Practice and Procedure for the FMC, inclusive of adoption of the Federal Rules of Civil Procedure ("FRCP") as necessary.

It is further respectfully submitted that Kapustin's three (3) motions are additionally and fatally procedurally defective in that Kapustin admits that the said motions were prepared by attorneys on his behalf yet conspicuously absent from said motion is any Affirmation, Affidavit, or other representation by counsel who prepared said motion. Additionally, and as set forth below, complainants' counsel has personal knowledge of Kapustin's limitations in the English language which preclude his having authored the motion now before the FMC. Accordingly, Kapustin's three (3) motions must be summarily denied.

As set forth below, Mr. Kapustin's three (3) separately filed motions are procedurally defective in that following his initial filing, Mr. Kapustin filed three "supplemental" motions on the identical relief initially sought without leave of the Presiding Officer to do so.

Should the Presiding Officer nonetheless deign to accept Kapustin's fatally defective initial motion, the following is respectfully submitted in opposition thereto.

Further, and as additionally set forth below, Mr. Kapustin's three (3) motions have been brought with manifest 'unclean hands' in that Mr. Kapustin has been found by a competent Court of parallel jurisdiction, to wit: the United States District Court for the District of New Jersey, to be master criminal, a fraud, and a pathological liar.

As further set forth below, Mr. Kapustin as a non-party with *no interest whatsoever* in the outcome of this lawsuit and under no demonstrable right or color of any law, is completely lacking in standing to intervene in this matter.

As additionally set forth below, Mr. Kapustin has completely waived any attorney client privilege arising out of prior representation of Mr. Kapustin by complainants' counsel herein.

For all these reasons, together with additional argument set forth below, it is respectfully submitted that Mr. Kapustin's three (3) separately filed motions should be summarily denied by the Presiding Officer in their entirety and with prejudice.

RECENT PROCEDURAL HISTORY

On July 13, 2016, movant and non-party Kapustin electronically filed what he described therein as a motion "[seeking] intervention as of right or permission to intervene in this matter for the limited purpose of seeking disqualification of Complainants' counsel Mr. Nussbaum". Said motion was electronically filed 9:00 p.m.

Shortly thereafter, at 11:04 p.m., Kapustin refiled the identical motion with the FMC, and served same upon complainants' counsel under a covering email, a copy of which is annexed hereto as Appendix "A" stating as follows: "I apologize I made a mistake in the other e-mail I sent you. This is the correct version of any and all documents."

Thereafter, on July 22, 2016 Kapustin electronically filed without leave of the Presiding Officer, what he self-described as "Motion to Supplement".

Following this, on August 3, 2016, Kapustin electronically filed, again without leave of the Presiding Officer what he self-described as "Motion to Further Supplement".

ARGUMENT

Standard of Review

Intervention as of Right

The standard for intervention as of right is well known to this Commission and is set forth in Rule 68 of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.68(c)(1), which reads, in relevant part, as follows:

“The [P]residing [O]fficer or Commission must permit anyone to intervene who claims an interest relating to the property or transaction that is subject of the proceeding, and is so situated that disposition of the proceeding may as a practical matter impair or impede the ability of such person to protect its interest, unless existing parties adequately represent that interest.”

It is undisputed that Kapustin has failed to meet this standard due to his abject failure to demonstrate: (1) an interest relating to the property or transaction that is subject of this proceeding; and (2) that he is so situated that disposition of the proceeding may as a practical matter impair or impede his ability to protect any such feigned interest. At the outset, Kapustin explicitly explains that he seeks to “intervene in this matter for the limited purpose of seeking disqualification of Complainants' Counsel Mr. Nussbaum.” Kapustin's self-professed motive for intervening herein demonstrates neither an interest relating to the property or transaction that is subject of this proceeding, nor evidence that he is so situated that disposition of the proceeding may as a practical matter impair or impede his ability to protect his interest.

Consequently, the application by Kapustin to intervene as of right must be denied for failure to demonstrate any such right or prima facie entitlement thereto within the FMC Rules of Practice and Procedure described above.

Standard for Permissive Intervention

The standard for permissive intervention is well known to this Commission and is set forth in Rule 68 of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.68(c)(2), which reads, in relevant part, as follows:

“The [P]residing [O]fficer or Commission may permit anyone to intervene who shows that a common issue of law or fact exists between such person's interest and the subject matter of the proceeding; that intervention would not unduly delay or broaden the scope of the proceeding, prejudice the adjudication of the rights, or be duplicative of the positions of any existing party; and that such person's participation may reasonably be expected to assist in the development of a sound record.”

It is respectfully submitted that neither can Kapustin demonstrate prima facie entitlement to intervention in this matter under the doctrine of permissive intervention set forth above. While it is acknowledged that the FMC and the Presiding Officer in particular have discretion to grant such intervention under qualifying circumstances, no such circumstances exist as to Kapustin, who abjectly fails each and every prong of said doctrine.

First, Kapustin's motion fails meet this standard due to his abject failure to demonstrate that a common issue of law or fact exists between any feigned interest of Kapustin and the subject matter of this proceeding. This is abundantly demonstrated in the first instance by the fact that Kapustin has no such interest in the subject matter of this proceeding, with the sole exception of his personal vendetta against Complainants' counsel.

Second, it is unassailable that allowing Kapustin to intervene in this matter would unduly delay and broaden the scope of the proceedings in furtherance of Kapustin's personal vendetta against complainants' counsel. Such undue delay and broadening of the proceedings would unavoidably result from oral argument on said motion, a deposition of Mr. Kapustin, and owing to the multiplicity of motion practice by respondents in this matter to date, endless motions, responses, replies, sur-replies, corrections of the record, motions to correct statements, motions to strike documents, motions for extensions of time, motions for extensions of page limits, and each and every one of the contrivances that have been tactically deployed by respondents herein to delay proceedings, multiply

litigation, prevent expeditious completion of discovery, and totally deprive complainants of their day in court.

Third, it is respectfully submitted that should the Presiding Officer allow Kapustin to intervene, and grant Kapustin's requested relief, complainants unassailable right to the counsel of their choice would be irrevocably prejudiced.

Fourth, it is respectfully submitted that it cannot fairly be said that allowing Kapustin to intervene would assist in the development of a sound record, as the self-described purpose of Kapustin's motion, to wit: to disqualify complainants' counsel in no way speaks to any of the issues before the FMC and the Presiding Officer relating to either complainants' instant claims, or respondents' defenses thereto.

Based upon the foregoing, it is respectfully submitted that Kapustin has abjectly failed to demonstrate prima facie entitlement to intervene in this matter either as a matter of right, or through the doctrine of permissive intervention. Accordingly, it is further respectfully submitted that the entirety of Kapustin's motion should be denied with prejudice.

The Certificates of Service Are Defective

It is respectfully submitted that should the Presiding Officer nonetheless find that Kapustin may intervene in this matter, the motion presently pending before the FMC contains a fatal procedural defect with regard to the Certificates of Service pertaining to same.

Specifically, Kapustin purports to have *personally* mailed his motion via "first class mail" while he claims to allegedly be in Russia, which is impossible as upon information and belief, there is no "first class mail" in Russia. Annexed hereto as Appendix "B" is a copy of a prior mailing from Kapustin to the Honorable Judge Noel L. Hillman wherein Kapustin mailed papers to the Court from Russia, and from which it is clear that the mail carrier is known as "Russian Post". Additionally, annexed hereto as Appendix "C" are copies of the U.S. Priority Mail envelopes containing Kapustin's motion papers which bear a return address in the State of Pennsylvania, thus indicating that said

papers were mailed from a location within the United States and not from Russia, and in the process belying Kapustin's perjurious representation of having *personally* mailed these papers via first class mail within the United States.

Additionally, and as set forth above, the Certificates of Service for all of Kapustin's motion papers are fatally defective in that said papers fail to identify the location where they were executed. The Commission's Rules of Practice and Procedure Rule 117 reads in relevant part as follows:

§502.117 Certificate of service. The original of every document filed with the Commission and required to be served upon all parties to a proceeding shall be accompanied by a certificate of service signed by the party making service, stating that such service has been made upon each party to the proceeding.

As is well known to the Commission, the Commission's Rules of Practice and Procedure explicitly require the person that made service of the papers and signing the certification to identify the location as to where the Certificate of Service was executed. As such, and having failed to do so, Kapustin's motion papers are fatally defective.

Movant Sergey Kapustin

Movant, Sergey Kapustin purports to be an Officer of the entity Global Auto Sales Inc., which was a wholesale automobile dealership located in Elizabeth, New Jersey. Neither Kapustin personally, nor his company Global Auto Sales Inc. were involved in *any* aspect of the subject transactions underlying Complainants' claims; nor does Kapustin have *any* interest, pecuniary or otherwise in the outcome of this lawsuit. It is undisputed that the business dealings that Global Auto Sales Inc. and Kapustin may have had directly with respondent Empire United Lines Co. Inc. ("EUL") and Hitrinov had absolutely nothing to do with EUL's shipment of the subject automobiles, in its capacity as NVOCC, from the U.S. to Kotka, Finland; neither does Kapustin have *any* ownership interests, either personally or through his company, Global Auto Sales Inc., in the subject vehicles.

As of the time of this writing, and upon information and belief, Kapustin's actual whereabouts are presently unknown, though he purports to be somewhere in Russia.

Complainants' Counsel's Prior Representation of Mr. Kapustin

Complainants' counsel first became acquainted with Kapustin in 2013, when Kapustin contacted Complainants' counsel to seek representation in a lawsuit against Respondent herein, EUL. Complainants' counsel ultimately withdrew from the case due to a disagreement as to how to proceed with the matter and outstanding attorneys' fees due. Accordingly, Complainants' counsel's representation of Kapustin *ceased upon such withdrawal*. Consequently, the fact that Kapustin professes that he still considers Complainants' counsel to still be his attorney is not only plainly erroneous, but is evidence of Kapustin's mental instability.

Most significantly, and throughout all of the foregoing, *at no time* did the Complainants' counsel *ever* renew *any* attorney-client relationship with Kapustin.

Mr. Kapustin's Waiver of the Attorney-Client Privilege

Thereafter, and in furtherance of facilitating a claim against Respondent, EUL in the instant case, Kapustin voluntarily waived any attorney-client privilege which had attached through Complainants' counsel's prior representation of Kapustin. A copy of said waiver is attached hereto as Appendix "D".

The basis for Kapustin's cooperation lies in the fact that Kapustin wished to harm EUL and respondent, Hitrinov in particular by any means and manner at his disposal, including the institution of the instant claims against EUL, in which he had no interest whatsoever, other than a personal vendetta against Hitrinov.

Movant's Lack of Standing

It is respectfully submitted that separate and apart from the fact that Kapustin fails both prongs of the intervention test set forth above, is the fact that Kapustin is additionally completely lacking in standing to intervene in this matter.

Specifically, Kapustin is neither a party to this action; nor does Kapustin have any ownership interest in the subject vehicles, neither is Kapustin an intended or unintended third-party beneficiary

of any act or transaction complained of herein; nor is Kapustin an employee, agent, servant, or representative of any of the parties to this matter.

Indeed, just as Kapustin's basis for waiving his attorney-client privilege set forth above was his personal vendetta against Respondent Hitrinov; Kapustin now seeks to intervene in this matter for the sole admitted purpose of his personal vendetta against Complainants' counsel.

The Presiding Officer is also respectfully asked to note that a parallel Court of competent jurisdiction, to wit: the United States District Court for the Eastern District of New York ("EDNY") has found that Kapustin lacks the very standing that he seeks to assert by intervening on behalf of the various companies.

In the matter of Global Auto, Inc., et al., v. Hitrinov, et al. – U.S.D.C. – E.D.N.Y. Docket No.: 13 Civ. 2479 (SLT)(RER), the Honorable Sandra L. Townes held that:

"Kapustin as a layperson, does not and cannot represent the corporate [parties.]"

(See, Memorandum and Order of Hon. Sandra L. Townes, annexed hereto as Appendix "E", p. 15-16).

In sum, Kapustin, who is not an attorney, seeks to intervene in this matter on behalf of various corporate entities just as he sought to do before the United States District Court (EDNY), which was rejected therein by the Hon. Judge Townes, *supra*. . His attempts to do so were previously rejected by the United States District Court for the Eastern District of New York and should similarly be rejected by this Tribunal herein.

Kapustin's 'Unclean Hands'

As to Mr. Kapustin himself, the Presiding Officer should be aware that the Honorable Judge Noel L. Hillman of the U.S. District Court for the District of New Jersey had the following to say about potential "Intervenor" Sergey Kapustin:

"...you are engaging not only in a **fraud** against the plaintiffs in this case, *but a fraud against this Court*, and I have warned you repeatedly, and I am not going to warn you anymore...you appear to be compelled to continue to offer **false excuses, false statements**, and

misrepresentations to this Court **designed to defraud this Court** just as you have defrauded the plaintiffs in this case. I am at wit's end with you. ***In my nine years as a judge, I have never seen someone so willing to lie and cheat and steal than you, and your crimes extend to this Court.***” (See, Transcript of Proof Hearing, dated August 31, 2015, Akishev *et al* v. Kapustin *et al*, p. 91, a copy of which is annexed hereto as Appendix “F”); (emphasis added).

CONCLUSION

As set forth above, Kapustin’s motions are fatally procedurally defective by reason of (1) improper Certificates of Service; (2) having been admittedly authored by other attorneys who fail to affirm or sign the motion papers; and (3) by reason of having filed multiple submissions without leave of the Presiding Officer to do so.

As further set forth above, (4) Kapustin has *no interest whatsoever* in the outcome of this lawsuit; (5) is completely lacking in standing; and (6) abjectly fails to satisfy the standard for intervention; either as of right, or for permissive intervention.

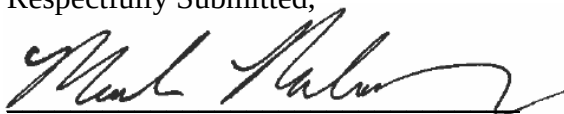
Additionally, Kapustin was vilified by the Hon. Judge Noel L. Hillman as being a fraud, a liar, a cheat, and a “master criminal”, and is thus completely lacking in credibility as to any and all representations made within the scope of his ill-founded motions.

For all these reasons, it is respectfully submitted that Kapustin’s Motion to Intervene should be denied in its entirety, with prejudice.

WHEREFORE, the Presiding Officer is respectfully urged to deny the Motion to Intervene of non-party Sergey Kapustin, in its entirety with prejudice, and grant such other and further relief as the Presiding Officer may deem just and reasonable under the circumstances.

Dated: Brooklyn, New York
August 15, 2016

Respectfully Submitted,



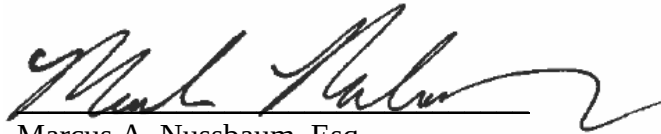
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' RESPONSE TO THE MOTION TO INTERVENE BY NON-PARTY SERGEY KAPUSTIN** and **APPENDIX** upon Respondents' Counsel at the following address:

Nixon Peabody LLP
Attn: Eric C. Jeffrey, Esq.
799 9th Street NW, Suite 500
Washington, DC 20001-4501

by first class mail, postage prepaid, and by email (ejeffrey@nixonpeabody.com).

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

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Dated: August 15, 2016 in Brooklyn, New York.